

3.2 What to look for in each Section?

After understanding the different sections of an annual report let's look at the question to ask or data to look for each section.

1 Introduction and Highlights

1 Products and Services

One of the key focuses in this section is to understand the products and services that the company is offering and the thought process behind them.

2 Achievements of the company during the year and how they have grown from the previous year.

3 Focus on facts

Facts



"Our revenues for the current fiscal year are 620 crores, which reflects a 24% increase from the previous fiscal year."

Opinion



"We are confident in continuing to develop our sales, which have increased dramatically."

4 How the management wants the company to be seen

Here the management tries to point a certain image of the company in front of investors. This eventually is an investor focused sales pitch. As a result, it's very important to not get influenced by management optimism and just focus on the facts.